

AUDIT INVESTIGATION REPORT

Investigation No. INV-00489 | Type: Fraud Investigation

Investigation ID:	INV-00489
Investigation Type:	Fraud Investigation
Status:	COMPLETED
Trigger Source:	Expense audit escalation
Lead Investigator:	Ryan Friedman (EMP-11590)
Subject Employee:	Christopher Fischer (EMP-3467)
Related Vendor:	Alpha_Inc Group (VND-02591)
Related Transaction:	TXN-EXT-000717
Scope Period:	2022-10-13 to 2024-01-19
Created Date:	2024-07-29
Completed Date:	2024-11-13
Outcome:	UNSUBSTANTIATED

1. AUDIT QUESTION

"Identify findings with confidence scores below 0.5 that have been marked **VALIDATED**."

2. BACKGROUND

This investigation was initiated following a expense audit escalation relating to activity associated with employee Christopher Fischer (EMP-3467) and vendor Alpha_Inc Group (VND-02591). The investigation scope covers the period 2022-10-13 to 2024-01-19 and was conducted under the authority of the Internal Audit Charter and the Fraud Risk Management Policy.

3. METHODOLOGY

The investigation team reviewed transaction records, approval workflow logs, and supporting documentation associated with Transaction ID TXN-EXT-000717 (amount 1,285,663.52 GBP, risk score 0.21). Interviews were conducted with relevant personnel and system access logs were reviewed for the scope period.

4. FINDINGS

Finding ID	Severity	Category	Description
FND-000529	LOW	VENDOR RISK	High-risk vendor JadeCore Solutions Inc has no compliance record on file. Payment of \$167,872 released without compliance clearanc...
FND-000473	LOW	POLICY BREACH	Expense claim of \$13,962 for Consulting exceeds the policy maximum of \$100,000. Overage: \$45,822.
FND-000334	LOW	EXPIRED COMPLIANCE	Payment of \$366,713 released to EcoVenture Supplies Inc whose SOC 2 compliance expired 385 days before payment date.

5. CONCLUSION

Based on the evidence reviewed, the investigation team was unable to substantiate the original allegation. Records and interviews were consistent with normal business activity.

6. ACTIONS TAKEN

- Matter escalated to the Risk Committee for executive review.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Investigator	Ryan Friedman	EMP-11590	2024-11-13